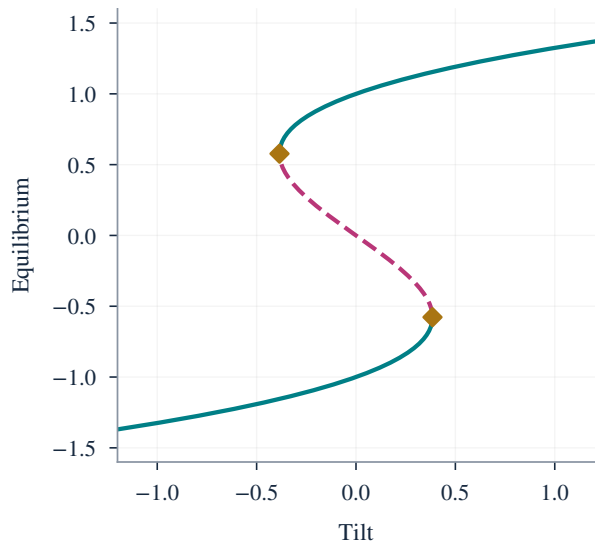
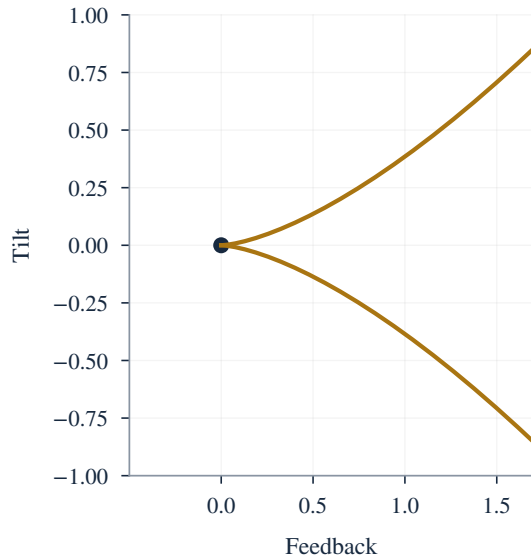


A Equilibrium section: feedback = 1



B Two folds meet at a cusp



Stable sheet    Unstable sheet    Fold curves

A teaching normal form. An economic cusp would require a separate model and nondegeneracy tests.